

NVIDIA Corporation

Blackwell Production Shipment Ramp On Track To Fire in F4Q With Strong Demand Outlook Into CY25;
Confident On AI/Accelerated Compute Spending Over The Next Few Years; Reit OW

We hosted an investor group meeting with Stewart Stecker, Sr. Director of IR and Strategic Finance at NVIDIA, with a focus on its Data Center business ahead of the production shipment ramp of its next-gen Blackwell GPU platform in F4Q (Jan-Qtr). Below are the take-aways from the meeting.

- **NVIDIA remains on track to ship its next-generation Blackwell GPU platform in high volume production in 4Q.....yields improving as expected and still expecting several billion dollars in Blackwell revenues in 4Q.** The team characterized the early product yield issues as “behind the team” post a mask fix on the B200 GPU chip and the team is on track to ship several billions of dollars of Blackwell GPU platforms in its fiscal 4Q (jan-qtr) with a continued strong ramp into CY25.
- **On the recent sell-side noise on rackscale portfolio changes (ie GB200 dual-rack 36x2 NVL72), the NVIDIA team cautioned investors on paying too much attention to the noise.** Given certain recent Asia sell-side reports on a discontinuation of the NVIDIA’s GB200 dual-rack 36x2 NVL72 rackscale solution, the NVIDIA team cautioned investors on listening to the noise on portfolio changes and focused investors on the Blackwell GPU platform supporting over 100 different system configurations (including the NVL72 and NVL36 solutions) versus only 19-20 for the prior generation Hopper GPU platform. Our view is that the GB200 36x2 NVL72 platform is initially targeted to be a high volume platform given the lower power density per rack (versus full NVL72 stand alone rackscale solution), and lower infrastructure support costs required (less complex liquid cooling complexity required for the 36x2 NVL72).
- **Sustainability of AI/accelerated compute spending beyond CY25: the team remains confident on continued growth in customer spending over the next several years – combination of AI, accelerated computing, and enterprise penetration.** The team remains confident on the sustainability of XPU infrastructure spending over the next several years as GenAI/foundational models continue to scale exponentially (more training compute capability required), as inferencing continues to penetrate the markets, enterprise/sovereign AI initiatives are still in the early phases of development, and on the strong push towards accelerating existing workloads (data processing, database, analytics, etc.) in the existing traditional CPU-centric datacenter infrastructure. Overall, the team estimates a \$500B per year infrastructure investment profile to support both new AI workloads and acceleration of existing CPU-centric traditional workloads.
- **Competition from start-ups and China domestic AI developed solutions: Incumbency is key in these markets and NVIDIA dominates with its**

Overweight

NVDA, NVDA US
Price (01 Oct 24):\$117.00
Price Target (Dec-25):\$155.00

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Quarterly Forecasts (FYE Jan)

Adj. EPS (\$)	2024A	2025E	2026E
Q1	0.11	0.61A	0.88
Q2	0.27	0.68A	0.95
Q3	0.40	0.72	1.05
Q4	0.52	0.79	1.14
FY	1.30	2.81	4.02

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	84	83	83	74	79
Growth	8	11	61	79	77
Momentum	8	3	4	16	78
Quality	1	1	6	5	4
Low Vol	65	58	62	40	71
ESGQ	2	13	21	7	4

Sources for: Style Exposure – J.P. Morgan Quantitative and Derivatives Strategy; all other tables are company data and J.P. Morgan estimates.

See page 6 for analyst certification and important disclosures.

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Price Performance



	YTD	1m	3m	12m
Abs	136.3%	-2.0%	-5.9%	169.0%
Rel	116.6%	-3.1%	-10.1%	135.9%

Company Data

Shares O/S (mn)	24,990
52-week range (\$)	140.76-39.23
Market cap (\$ mn)	2,923,830.00
Exchange rate	1.00
Free float(%)	96.1%
3M - Avg daily vol (mn)	324.77
3M - Avg daily val (\$ mn)	37,921.0
Volatility (90 Day)	62
Index	S&P 500
BBG BUY HOLD SELL	67 8 0

Key Metrics (FYE Jan)

\$ in millions	FY24A	FY25E	FY26E
Financial Estimates			
Revenue	60,922	125,219	182,609
Adj. EBIT	33,069	77,625	113,990
Adj. EBITDA	33,493	78,049	114,414
Adj. net income	32,312	69,999	100,465
Adj. EPS	1.30	2.81	4.02
BBG EPS	2.83	4.05	-
Cashflow from operations	28,091	54,148	87,013
FCFF	27,023	52,152	85,713
Margins and Growth			
Revenue Growth Y/Y (%)	125.9%	105.5%	45.8%
EBIT margin	54.3%	62.0%	62.4%
EBIT growth	464.5%	134.7%	46.8%
EBITDA margin	55.0%	62.3%	62.7%
EBITDA Growth Y/Y (%)	433.2%	133.0%	46.6%
Net margin	53.0%	55.9%	55.0%
Adj. EPS growth	288.4%	116.9%	43.0%
Ratios			
Adj. tax rate	12.1%	15.5%	17.0%
Interest cover	-	-	-
Net debt/Equity	NM	NM	NM
Net debt/EBITDA	NM	NM	NM
ROE	99.3%	103.4%	71.2%
Valuation			
FCFF yield	0.9%	1.8%	2.9%
Dividend yield	0.6%	0.6%	0.6%
EV/Revenue	51.3	24.7	16.5
EV/EBITDA	93.2	39.6	26.3
Adj. P/E	90.3	41.6	29.1

Summary Investment Thesis and Valuation

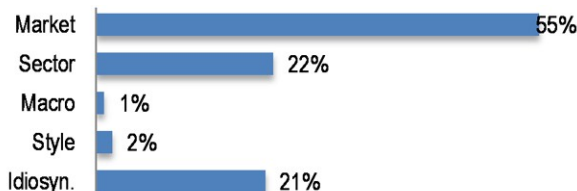
Investment Thesis

We believe NVIDIA continues to execute across all segments. While 1H is typically seasonally weaker than 2H, we expect solid demand in PC gaming to be a strong revenue driver for the company, offsetting PC OEM, which is in secular decline. We expect the data center segment to grow strongly as hyperscale customers continue to embrace GPU-accelerated deep learning for processing large data sets. We are encouraged by strength in the automotive and enterprise segments as well, although strong adoption of autonomous driving in the market remains to be seen. We anticipate significant upside in the shares, driving our Overweight rating.

Valuation

Our Dec-25 PT assumes that NVIDIA trades at a 35x multiple applied to ~\$4.40 of annualized earnings power in 2H of CY25E. Our earnings multiple is consistent with its potential earnings CAGR of 30-35%+ over the next few years led by the continued strong datacenter growth, monetizing an incremental ~\$14B of auto revenue pipeline and incremental software, licensing, and subscription revenues over the next several years.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.78	0.74
Sect: Technology	0.73	0.70
Ind: Semicond & S Equip	0.96	0.89
Macro:		
US Dollar	0.06	0.36
Non-Energy Commodity	-0.06	-0.25
US 10yr yield	-0.12	0.15
Quant Styles:		
Momentum	0.43	0.54
DivYld	-0.35	-0.47
Quality	0.13	0.35

Source: J.P. Morgan Quantitative and Derivatives Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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software/ecosystem/developer installed base and strong partnerships across the value chain (CSPs, OEMs, ODMs). Recently there have been several start-ups bringing their AI compute systems solution to market, with a target to focus on enterprise segments (both training and inference), and furthermore, a recent focus by the China government to encourage domestic AI companies to use domestic AI silicon suppliers. The NVIDIA team made a key point that the two markets where the NVIDIA platform / software / ecosystem has strong incumbency is in the enterprise and China markets with over 5M NVIDIA-based developers world-wide, support for NVIDIA platforms across all global CSPs, OEMs, and ODMs. Combined with its Enterprise AI software/framework platform (allowing customers to train and deploy their proprietary models to market faster) - all of this provides strong barriers to entry and made even more challenging for competitors given NVIDIA's aggressive cadence of next-generation compute silicon and platform solutions.

Investment Thesis, Valuation and Risks

NVIDIA Corporation (*Overweight; Price Target: \$155.00*)

Investment Thesis

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Risks to Rating and Price Target

- Although PC gaming demand seems resilient to macroeconomic weakness, any macro uncertainty could weigh on PC gaming demand trends. Given NVDA's ~53% exposure to the PC gaming segment, any consumer PC gaming weakness poses downside risk to our estimates.
- NVIDIA's GPUs could gain lower than expected deployment into data center applications as hyperscale customers further adopt deep learning as a new and effective way of processing large unstructured data sets. Any significant decrease in the adoption of deep learning by hyperscale customers or increase in competition could result in downside risk to our revenue and earnings estimates.

NVIDIA Corporation: Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY23A	FY24A	FY25E	FY26E	FY27E		1Q25A	2Q25A	3Q25E	4Q25E	
Revenue	26,974	60,922	125,219	182,609	-	Revenue	26,044A	30,040A	32,500	36,635	-
COGS	(11,618)	(16,621)	(31,499)	(46,874)	-	COGS	(5,638)A	(7,466)A	(8,320)	(10,075)	-
Gross profit	15,356	44,301	93,720	135,734	-	Gross profit	20,406A	22,574A	24,180	26,561	-
SG&A	(2,160)	(2,558)	(3,412)	(4,349)	-	SG&A	(756)A	(816)A	(898)	(942)	-
Adj. EBITDA	6,282	33,493	78,049	114,414	-	Adj. EBITDA	17,036A	18,774A	20,035	22,204	-
D&A	(424)	(424)	(424)	(424)	-	D&A	(106)A	(106)A	(106)	(106)	-
Adj. EBIT	5,858	33,069	77,625	113,990	-	Adj. EBIT	16,930A	18,668A	19,929	22,098	-
Net Interest	-	-	-	-	-	Net Interest	-	-	-	-	-
Adj. PBT	5,864	33,680	79,007	115,390	-	Adj. PBT	17,232A	19,048A	20,279	22,448	-
Tax	186	(4,059)	(12,277)	(19,616)	-	Tax	(2,398)A	(2,615)A	(3,448)	(3,816)	-
Minority Interest	-	-	-	-	-	Minority Interest	-	-	-	-	-
Adj. Net Income	8,365	32,312	69,999	100,465	-	Adj. Net Income	15,238A	16,952A	18,005	19,805	-
Reported EPS	0.17	1.19	2.68	3.81	-	Reported EPS	0.60A	0.67A	0.67	0.74	-
Adj. EPS	0.33	1.30	2.81	4.02	-	Adj. EPS	0.61A	0.68A	0.72	0.79	-
DPS	0.68	0.68	0.68	0.68	-	DPS	0.17A	0.17A	0.17	0.17	-
Payout ratio	390.3%	57.0%	25.4%	17.9%	-	Payout ratio	28.4%A	25.4%A	25.4%	22.9%	-
Shares outstanding	25,073	24,933	24,900	24,990	-	Shares outstanding	24,890A	24,848A	24,920	24,940	-
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Cash and cash equivalents	13,296	25,984	57,972	142,701	-	Gross margin	56.9%	72.7%	74.8%	74.3%	-
Accounts receivable	3,827	9,999	19,109	27,577	-	EBITDA margin	23.3%	55.0%	62.3%	62.7%	-
Inventories	5,159	5,282	14,149	18,981	-	EBIT margin	21.7%	54.3%	62.0%	62.4%	-
Other current assets	791	3,080	4,026	4,026	-	Net profit margin	31.0%	53.0%	55.9%	55.0%	-
Current assets	23,073	44,345	95,256	193,285	-	ROE	34.3%	99.3%	103.4%	71.2%	-
PP&E	3,807	3,914	5,323	6,199	-	ROA	19.6%	60.4%	74.9%	58.8%	-
LT investments	-	-	-	-	-	ROCE	16.1%	67.8%	85.4%	63.2%	-
Other non current assets	14,302	17,469	20,709	20,709	-	SG&A/Sales	8.0%	4.2%	2.7%	2.4%	-
Total assets	41,182	65,728	121,288	220,193	-	Net debt/equity	NM	NM	NM	NM	-
Short term borrowings	1,250	1,250	0	0	-	P/E (x)	350.7	90.3	41.6	29.1	-
Payables	1,193	2,699	5,416	6,953	-	P/BV (x)	132.7	67.9	31.5	15.4	-
Other short term liabilities	4,120	6,682	10,289	10,289	-	EV/EBITDA (x)	499.3	93.2	39.6	26.3	-
Current liabilities	6,563	10,631	15,705	17,242	-	Dividend Yield	0.6%	0.6%	0.6%	0.6%	-
Long-term debt	9,703	8,459	8,461	8,461	-	Sales/Assets (x)	0.6	1.1	1.3	1.1	-
Other long term liabilities	2,815	3,660	4,640	4,640	-	Interest cover (x)	-	-	-	-	-
Total liabilities	19,081	22,750	28,806	30,343	-	Operating leverage	(19426.5%)	369.1%	127.7%	102.2%	-
Shareholders' equity	22,101	42,978	92,482	189,850	-	Revenue y/y Growth	0.2%	125.9%	105.5%	45.8%	-
Minority interests	-	-	-	-	-	EBITDA y/y Growth	(41.6%)	433.2%	133.0%	46.6%	-
Total liabilities & equity	41,182	65,728	121,288	220,193	-	Tax rate	3.2%	12.1%	15.5%	17.0%	-
BVPS	0.88	1.72	3.71	7.60	-	Adj. Net Income y/y Growth	(25.7%)	286.3%	116.6%	43.5%	-
y/y Growth	(16.0%)	95.6%	115.5%	104.5%	-	EPS y/y Growth	(24.9%)	288.4%	116.9%	43.0%	-
Net debt/(cash)	(2,343)	(16,275)	(49,511)	(134,240)	-	DPS y/y Growth	0.0%	0.0%	0.0%	0.0%	-
Cash flow from operating activities	5,642	28,091	54,148	87,013	-						
o/w Depreciation & amortization	424	424	424	424	-						
o/w Changes in working capital	(3,174)	(5,057)	(16,907)	(14,837)	-						
Cash flow from investing activities	7,374	(10,566)	(9,528)	(1,300)	-						
o/w Capital expenditure	(1,833)	(1,068)	(1,996)	(1,300)	-						
as % of sales	6.8%	1.8%	1.6%	0.7%	-						
Cash flow from financing activities	(11,617)	(13,634)	(20,157)	(984)	-						
o/w Dividends paid	(398)	(396)	(836)	(984)	-						
o/w Net debt issued/(repaid)	(7)	(1,279)	(1,250)	0	-						
Net change in cash	1,399	3,891	24,463	84,729	-						
Adj. Free cash flow to firm	3,809	27,023	52,152	85,713	-						
y/y Growth	(53.2%)	609.5%	93.0%	64.4%	-						

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Jan. o/w - out of which

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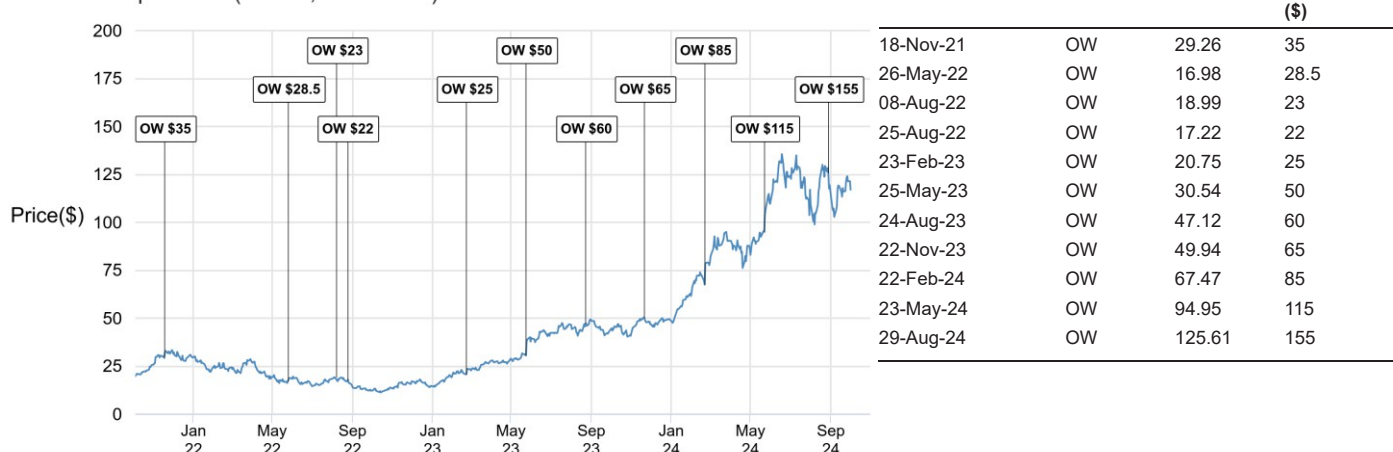
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NVIDIA Corporation (NVDA, NVDA US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Apr 04, 2002. All share prices are as of market close on the previous business day.

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